# Chapter: ABD DEEMING OF INCOME AND RESOURCES

**Aged, Blind and Disabled Manual; Section: Financial Eligibility Requirements; Policy Manual Number: 110.040**

**Legal Authority:** 20 CFR 416.120; 20 CFR 416.1101; 20 CFR 416.1102; 20 CFR 416.1142; 20 CFR 416.1160; 20 CFR 416.1161; 20 CFR 416.1163; 20 CFR 416.1165; 20 CFR 416.1166; 20 CFR 416.1167; 20 CFR 416.1202; 20 CFR 416.1205; 20 CFR 416.1802; 20 CFR 416.1806; 20 CFR 416.1856; 20 CFR 416.1870; 20 CFR 416.1872; 20 CFR 416.1881; TennCare 1115 Demonstration Waiver, Amendment 27; Tenn. Comp. R. & Regs. 1200-13-20-.06(3)

## 1. Policy Statement

Countable income and resources belonging to individuals other than the TennCare Medicaid applicant/enrollee may be deemed available when determining eligibility. The deeming provisions recognize the family responsibility of parents and spouses for meeting an applicant's basic needs of food and shelter. The deeming concept applies only to the Financially Responsible Relatives (FRRs) of applicants and enrollees in the following Aged, Blind and Disabled (ABD) Categories of Eligibility (COEs):

**a.** Medicare Savings Programs (MSPs): QMB, SLMB, QI and QDWI;
**b.** SSI-Related COEs: Pickle Passalong, Disabled Adult Children, and Widow/Widower; and
**c.** Institutional Medicaid.

## 2. Definitions

**a. Child:** Child as related to this policy includes individuals:

- **i.** Not married; and
- **ii.** Not the head of a household; and
- **iii.** Under 18 years of age or under 22 years of age if a student regularly attending school.

**b. Deeming:** The term deeming identifies the process of considering another person's income and resources to be available for meeting a TennCare applicant/enrollee's basic needs of food and shelter.

**c. Eligible Child:** A child who is eligible or potentially eligible for the COE for which he is being considered.

**d. Eligible Spouse**: A spouse who is living with the applicant and is eligible or potentially eligible for the SSI-related COE for which the applicant is being considered.

**e. Federal Benefit Rate (FBR):** The FBR is the maximum monthly Supplemental Security Income (SSI) benefit amount for a couple or an individual.

f. **Holding Out Spouse:** A holding out relationship exists when an unrelated man and woman present themselves to the community as husband and wife in the absence of a legal marriage. The concept of a holding out relationship does not apply to the MSPs or Institutional Medicaid COEs.

g. **Ineligible Child:** A child living in the home of an applicant who is not being reviewed for an ABD COE. An ineligible child:

   **i.** Is not eligible for Medicare (for MSP eligibility determinations);
   **ii.** Is not institutionalized (for Institutional Medicaid eligibility determinations); and
   **iii.** Does not meet SSI-Related COE criteria (for Disabled Adult Child, Widow/Widower or Pickle Passalong eligibility determinations).

h. **Ineligible Parent:** A parent living in the home of an eligible child whose resources and income may be/are deemed to the eligible child. An ineligible parent:

   **i.** Is not eligible for Medicare (for MSP eligibility determinations);
   **ii.** Is not institutionalized (for Institutional Medicaid eligibility determinations); and
   **iii.** Does not meet SSI-Related COE criteria (for Disabled Adult Child, Widow/Widower or Pickle Passalong eligibility determinations).

i. **Ineligible Spouse:** A spouse living in the home of an eligible spouse whose resources and income may be/are deemed to the eligible spouse. An ineligible spouse:

   **i.** Is not institutionalized (for Institutional Medicaid eligibility determinations); and
   **ii.** Does not meet SSI-Related COE criteria (for Disabled Adult Child, Widow/Widower or Pickle Passalong eligibility determinations).

j. **Parent:** Parent as related to this policy includes natural and adoptive parents. A parent is a natural, adoptive or, in certain situations, a stepparent. A stepparent is not included in the deeming budget if any of the following circumstances apply:

   **i.** The natural or adoptive parent to whom the individual was married has died;
   **ii.** The natural or adoptive parent and the individual are divorced; or
   **iii.** The natural or adoptive parent and the stepparent's marriage has been annulled.

k. **Public Income-Maintenance Payments:** Income provided based on a determination of need by the federal, a state or local government. Public income-maintenance payments include:

   **i.** Temporary Assistance for Needy Families (TANF);
   **ii.** Supplemental Security Income;
   **iii.** Refugee Act of 1980 payments based on need;
   **iv.** Disaster Relief and Emergency Assistance Act benefits;

**v.** General assistance programs of the Bureau of Indian Affairs;
**vi.** U.S. Department of Veterans Affairs payments based on need; and
**vii.** State or local government assistance programs based on need.

**l. Spouse:** A spouse is:

**i.** An individual's legally married spouse;
**ii.** An individual determined by the Social Security Administration (SSA) as eligible to receive Social Security benefits as the spouse of another; or
**iii.** An individual's "holding out" spouse.

## 3. Ineligible Parent(s) to Eligible Child(ren) Income Deeming

### a. Overview

When a blind or disabled child under age 18 is living with his ineligible parents(s), a portion of the parents' income may be deemed available to the child and counted as unearned income to the child in determining his TennCare Medicaid eligibility. Income belonging to a parent receiving public income-maintenance payments is not deemed to an eligible child.

Note: Parent to child deeming does not occur for a child applying for Institutional Medicaid, including Home and Community Based Services (HCBS) and the Department of Disability and Aging (DDA) Waiver applications, except for a child under 18 who is requesting HCBS services in the Employment and Community First (ECF) CHOICES program, with certain exceptions. See the Parent-to-Child Deeming section in the *Employment and Community First CHOICES* policy for more information.

### b. Ineligible Parent Income Deeming

When deeming applies, the ineligible parent(s) receives income disregards and allocations to meet her needs and the needs of other children living in the household. Child and parental allocations are deducted from the parents' income before any income is deemed to the applicant/enrollee.

#### i. Ineligible Child Allocation

When deeming from parent to child, the parent receives an ineligible child allocation for each ineligible child residing in her home. The parent does not receive an ineligible child allocation for any child in the home who receives public income-maintenance payments.

Changes in family composition, such as birth, death, entering or leaving the household or no longer meeting the definition of a child, will impact deeming.

The ineligible child allocation is equal to the difference between the FBR for a couple and the FBR for an individual. The allocation is reduced by the child's own countable income. If there is more than one ineligible child in the household, an allocation is determined for each ineligible child. When the ineligible child allocation is deducted from parental income, that amount should include the total of all ineligible child allocations, if applicable. See the *ABD Income Disregards and Expenses* policy for specific deductions and expenses used to determine the child's net income effecting the child allocation.

### ii. Ineligible Child Allocation Budget

Two siblings live in a home with their mom and her husband. One of the children has an application submitted for ABD TennCare Medicaid. His parents' extra income will be deemed to him. Before the extra income amount can be determined, the sibling who is not applying must be allocated income for her needs. She receives $200 in child support from her father who lives outside the home. She has no other income.

| **Ineligible Child(ren)** | | |
| --- | --- | --- |
| Net Self-Employment Income | | $ 0.00 |
| Net Earned Income | + | $ 0.00 |
| Total Earned Income | = | $ 0.00 |
| Student Earned Income Exclusion | - | $ 0.00 |
| Net Unearned Income | + | $ 200.00 |
| Cost of Living Adjustment (COLA) Disregard | - | $ 0.00 |
| Living Allowance (SSI-FBR for a couple minus SSI-FBR for an individual) | = | $ 392.00 |
| Total Countable Income (Total Earned Income + Net Unearned Income) | - | $ 200.00 |
| Total Ineligible Child Allocation | = | $ 192.00 |

The above budget is current as of January 2020.

The allocation is deducted from the parent's unearned income first, then from the parent's earned income.

### iii. Ineligible Parental Allocation

Ineligible parents of an ABD TennCare Medicaid applicant/enrollee will receive the ABD disregards prior to determining the deemed income amount. See the *ABD Income Disregards and Expenses* policy for specific deduction/expenses descriptions.

If an ineligible parent is required to pay mandatory child support to an individual outside of the household, then the income used to pay the mandatory child support is not deemed.

### iv. Ineligible Parent Deeming Budget

An application is submitted for ABD TennCare Medicaid for a 12-year-old child. He lives in the home with his two siblings and his mother, whose income may be deemed to him. His siblings have no income and are not applying. They each have a child allocation of $392 for a total of $784. His mother has no unearned income, but she does receive $2,500 in monthly earned income. Once all deductions and allocations are removed, a total deemed amount of $32.50 will be included in the applicant's countable income.

| **Income Deeming for Ineligible Parent** | | |
|---|---|---|
| Total Unearned Income | | $ 0.00 |
| Cost of Living Adjustment (COLA) Disregard | - | $ 0.00 |
| Irregular Unearned Income Disregard | - | $ 0.00 |
| Child Support Mandatory Expenses | - | $ 0.00 |
| Total Ineligible Child Allocation | - | $ 0.00 |
| General Deduction ($20) | - | $ 0.00 |
| Net Countable Unearned Income | = | $ 0.00 |
| Self-Employment Income | | $ 0.00 |
| Earned Income | + | $ 2,500.00 |
| Total Earned Income | = | $ 2,500.00 |
| Irregular Earned Income Disregard | - | $ 0.00 |
| Remaining General Deduction | - | $ 20.00 |
| Student Earned Income Exclusion | - | $ 0.00 |
| Child Support Mandatory Expenses (if not subtracted from Unearned Income) | - | $ 0.00 |
| Remaining Ineligible Child Allocation | - | $ 784.00 |
| Earned Income Deduction | - | $ 65.00 |
| ½ Deduction | - | $ 815.50 |
| Net Countable Earned Income | = | $ 815.50 |
| Net Countable Unearned Income | + | $ 0.00 |
| Total Net Income of Ineligible Parent | = | $ 815.50 |
| Federal Benefit Rate | - | $ 783.00 |
| Number of Eligible Children | ÷ | 1 |
| Ineligible Parent's Deemed Income | = | $ 32.50 |

The above budget is current as of January 2020.

**4. Ineligible Spouse to Eligible Spouse Deeming**

**a. Overview**

The countable income of an applicant/enrollee's ineligible spouse living in the home may be deemed available to the applicant/enrollee. Income belonging to an ineligible spouse receiving public income-maintenance payments is not deemed to the applicant/enrollee. Spousal deeming applies to the Medicare Savings Program (QMB, SLMB, QI-1, AND QDWI) and Pickle Passalong.

Note: Spousal responsibility for Institutional Medicaid COEs is based on spousal impoverishment rules. See the *Post Eligibility Treatment of Income* and *Resource Assessment* policy. Spousal responsibility for the Medicare Savings Programs is based on the financially responsible relatives principle. See the *ABD Eligibility Determination Group* and *ABD Financially Responsible Relatives* policy.

**b. When Spousal Deeming Applies**

Spousal deeming only applies when the spouses share a living arrangement; i.e. live in the community or home together. An FRR's responsibility ends the month that the individual and spouse are separated for any reason such as one spouse moving to another home. If an ineligible spouse incurs mandatory child support expenses paid to support an individual outside of the household, then the income used to pay those expenses is not considered deemed.

For treatment of Institutional Medicaid, see the *Post Eligibility Treatment of Income* policy.
Spouse to spouse deeming only occurs when the deemed amount available to the eligible spouse is greater than the difference between the FBR for a couple and the FBR for an individual. When spousal deeming does occur, the Eligibility Determination Group (EDG) size increases by 1, so an EDG of 1 would become 2.

**c. Ineligible Spouse Income Deeming**

The ineligible spouse of an ABD TennCare Medicaid applicant/enrollee will receive all applicable ABD disregards prior to determining the deemed income amount. See the *ABD Income Disregards and Expenses* policy for specific deduction/expenses descriptions.

If an ineligible spouse is required to pay mandatory child support to an individual outside of the household, then the income used to pay the mandatory child support is not deemed.

**d. Ineligible Spouse Income Deeming Budget**

The example below is for Pickle Passalong, which considers living arrangements when determining whether deeming applies. See the *Pickle Passalong* and *ABD Eligibility Determination Group* policies.

A married man is applying for Pickle Passalong. He lives in his home with his wife. The applicant meets the non-financial criteria for Pickle Passalong, but his wife does not. Since he is married and living at home with his spouse, her income may be deemed available to him.

The deeming budget below calculates whether the spouse's income should be deemed to the applicant. The budget determines that the spouse's income is greater than the FBR difference ($392). The spouse's income will deem to the applicant when determining his income eligibility. The applicant's EDG size will be 2.

| **Income Deeming for Ineligible Spouse** | | |
|---|---|---|
| Total Unearned Income | | $ 0.00 |
| Cost of Living Adjustment (COLA) Disregard | - | $ 0.00 |
| Irregular Earned Income Disregard ($60 per quarter) | - | $ 0.00 |
| Child Support Mandatory Expenses | - | $ 0.00 |
| Total Ineligible Child Allocation | - | $ 0.00 |
| Ineligible Spouse's Deemed Unearned Income | = | $ 0.00 |
| Self-Employment Income | | $ 0.00 |
| Earned Income | + | $ 1,200.00 |
| Ineligible Spouse's Total Earned Income | = | $ 1,200.00 |
| Irregular Earned Income Disregard ($30 per quarter) | - | $ 0.00 |
| Student Earned Income Exclusion | - | $ 0.00 |
| Child Support Mandatory Expenses (if not subtracted from Unearned Income) | - | $ 0.00 |
| Remaining Ineligible Child Allocation | - | $ 0.00 |
| Ineligible Spouse's Deemed Earned Income | | $ 1,200.00 |
| Ineligible Spouse's Deemed Unearned Income | + | $ 0.00 |
| Ineligible Spouse's Income (This amount is only deemed if greater than the difference between the FBR for a couple and the FBR for an individual.) | = | $ 1,200.00 |

The above budget is current as of January 2020.

## 5. Resource Deeming

### a. Overview

Resources may be deemed from FRRs when determining financial eligibility for applicants.

Exception: Pension funds belonging to an ineligible spouse or ineligible parent are excluded from resources for deeming purposes in order for the spouse or parent to provide for his own future support.

**b. Ineligible Parent(s) To Eligible Child(ren) Resource Deeming**

The resources of the child include the value of the countable resources of the parent(s) or spouse of the parent, to the extent that the resources of the ineligible parent(s) or spouse of the parent exceed the resource limit of an individual (if one parent lives in the home) or a couple (if two parents live in the home).

If there is more than one disabled child under age 18 in the household, equally divide the value of the deemed resources among those children.

**i. Ineligible Parent(s) Resource Deeming Budget**

A 15-year-old child applies for Institutional Medicaid with an ECF CHOICES "At-Risk" LOC Pre-Admission Evaluation (PAE). He lives in the home with his parents. His parents have combined countable liquid resources of $2,300. They have $3,000 of countable non-liquid resources (not retirement accounts). They also have one car, which is excluded. Since the applicant has an "At-Risk" LOC, his parents' resources are deemed to him. $2,300 is deemed to the child placing him over the resource limit of $2,000.

| **Countable Resources** | | |
|---|---|---|
| Liquid Resources | | $ 2,300.00 |
| Non-Liquid Resources (Excludes Individual Retirement Accounts, Keogh Accounts, or Pension Funds owned by Parent(s)) | + | $ 3,000.00 |
| Burial Reserve Exclusion | − | $ 0.00 |
| Vehicle Resources | + | $ 0.00 |
| Total Countable Resource Amount | = | $ 5,300.00 |
| Resource Limit | - | $ 3,000.00 |
| Subtotal Deemed Amount | = | $ 2,300.00 |
| Number of Eligible Child(ren) | ÷ | 1 |
| Total Deemed Amount | = | $ 2,300.00 |

The above budget is current as of January 2020.

**c. Ineligible Spouse to Eligible Spouse Resource Deeming**

Total countable resources are the combination of the resources of the applicant/enrollee and the spouse after all applicable resource exclusions are applied. Total countable resources are compared with the resource limitation for a couple. If the amount of the resources does not exceed the limit, the applicant/enrollee is resource eligible.

See the *Resource Assessment* policy for Institutional Medicaid COEs.

**i. Spouse to Spouse Resource Deeming Budget**

A married individual applies for TennCare Medicaid. She is being reviewed for eligibility in an SSI-Related COE. She and her spouse live together. Her spouse has countable liquid resources of $600. He has countable non-liquid resources of $8,000. The only vehicle is excluded. His total combined resources of $8,600 will be deemed to her. This amount will be added to her countable resources and compared against the limit for an EDG size of 2.

| **Countable Resources** | | |
| --- | --- | --- |
| Liquid Resources | | $ 600.00 |
| Non-Liquid Resources (Excludes Individual Retirement Accounts, Keogh Accounts, or Pension Funds owned by Parent(s).) | + | $ 8,000.00 |
| Burial Reserve Exclusion | − | $ 0.00 |
| Vehicle Resources | + | $ 0.00 |
| Total Countable Resource Amount | = | $ 8,600.00 |
| Resource Limit | = | N/A |
| Subtotal Deemed Amount | = | $ 8,600.00 |
| Number of Eligible Child(ren) | ÷ | N/A |
| Total Deemed Amount | = | $ 8,600.00 |

The above budget is current as of January 2020.

**6. Temporary Absence**

During a temporary absence, deeming continues to apply to an individual. When deeming income, a temporary absence exists if an individual leaves the household, but intends to return home, and does, the same month the individual left or the month after the individual left the home. When an individual returns the same month or the month after the individual left the household, it can be assumed that the individual intended to return to the household.

**a. Child at School**

If a child is away at school in an educational or vocational training program but returns to the household on some weekends or holidays, and the child is under parental control, the child is considered temporarily absent, and parent to child deeming may occur. Parents that have the authority to make decisions on a child's behalf have parental control. If a child is away at school, but the parents do not have parental control, the absence is not temporary.

**b. Absent Military Spouse or Parent**

Any spouse or parent that is absent from the household solely for a military duty assignment, while an on active duty as a member of the Armed Forces, will still be considered to be living in the household for deeming purposes, as long as the intent to return home remains. Members of the Army, Navy, Air Force, Marine Corps or Coast Guard are considered members of the Armed Forces. The length of absence is not a factor in determining if the spouse or parent is included in the household.

**Version History**

| Revision Date | Section | Section Title | Page Number(s) | Reason for Revision | Reviser |
| --- | --- | --- | --- | --- | --- |
| 04.15.2015 | | | | Publication | |
| 07.01.2016 | 3.a. | Overview | 2 | Policy Clarification | LW |
| 12.08.2016 | 2; 3.b.i.B.; 4.c.; 6.a. | Defined Terms; Ineligible Child Allocation Calculation; Spousal Deeming Budget; Spouse to Spouse Deeming | 1-3; 6-8 | Policy Clarification | RH |
| 03.18.2019 | 1.; 2.a.; 2.c.; 2.d.; 2.g.; 2.h.; 2.i.; 2.k.; 3-6. | Legal Authority; Policy Statement; Child; Eligible Child; Eligible Spouse; Ineligible Child; Ineligible Parent; Ineligible Spouse; Public Income- Maintenance Payments; Ineligible Parent(s) to Eligible Child(ren) Income Deeming; Ineligible Spouse to Eligible Spouse Deeming; Resource Deeming; Temporary Absence | 1-9 | Policy Clarification | LW |
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| 10.01.2020 | 1.-3.; 5.b.i.; 5.c. | Policy Statement; Definitions; Ineligible Parent(s) to Eligible Child(ren) Income Deeming; Ineligible Parent(s) Resource Deeming Budget; Ineligible Spouse to Eligible Spouse Resource Deeming | 1-3; 8 | Non-Substantive Change | TN |
| 10.01.2020 | 1.-2.; 3.b.i.; 4.a.; 4.d. | Legal Authority; Policy Statement; Definitions; Ineligible Child Allocation; Overview; Ineligible Spouse Income Deeming Budget | 1-3; 5-7 | Policy Clarification | AJ |

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|---|---|---|---|---|---|
| 10.01.2020 | 3.b.ii.;<br>3.b.iv. | Ineligible Child Allocation Budget; Ineligible Parent Deeming Budget | 4-5 | Non-Substantive Change | AJ |
| 09.01.2022 | 3.a. | Overview | 3 | Policy Change | AJ |
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| 08.01.2025 | 1;<br>3.a;<br>4.a | Legal Authority<br>Ineligible Parent(s) to Eligible Child(ren) Income Deeming Overview<br>Ineligible Spouse to Eligible Spouse Deeming Overview | 1, 3, 5 | Policy Clarification | TC |